



Time: 4 minutes

Outcome: Identify externalities, public goods, market power, and corrective policy logic.

Difficulty: Intermediate

Market Failures

THE CORE IDEA

Markets may fail to maximize total surplus when prices omit external costs or benefits, when market power restricts trade, or when information is incomplete. Public goods are nonrival and nonexcludable, creating a free-rider problem. Evaluate social marginal benefits and costs rather than assuming private incentives capture every consequence.

HOW TO RECOGNIZE IT

- Identify the wedge between private incentives and social value or cost.
- Public goods are characterized by nonrivalry and nonexcludability.
- A storm-warning signal can serve another listener without reducing its value and nonpayers are hard to exclude.
- Public goods are nonrival and nonexcludable; common resources are rival and hard to exclude.
- A seller can profitably influence price by restricting output.

WATCH OUT

Do not confuse government provision with the economic definition of a public good. Public goods are characterized by nonrivalry and nonexcludability. Identify the wedge between private incentives and social value or cost.

WORKED EXAMPLE: IDENTIFYING AN EXTERNALITY

A factory's production imposes \$8 of pollution damage per unit on nearby residents, but the factory pays only its \$20 private marginal cost. Social marginal cost is $\$20 + \$8 = \$28$. If buyers' marginal benefit is \$24, the unit looks worthwhile privately but destroys \$4 of social surplus, demonstrating an external-cost market failure.

CHECK YOURSELF

What makes an effect an externality?